Interest and Finance Charges

A company has to pay interest on monies it borrows. This is normally shown separately as it is a cost distinct from the normal costs incurred in running a business and would vary from company to company. The normal borrowings that a company pays interest on are:

1. Bank overdrafts,
2. Term loans taken for the purchase of machinery,
3. Fixed deposits from the public,
4. Debentures, and
5. Intercorporate loans.